

Budgetary Deficit

A budgetary deficit occurs when governmental expenditure exceeds its income. Expenditure stimulates the economy by creating jobs and stimulating demand. However, this can also lead to deficit financing and inflation. Both these, if not checked, can result in spiralling prices. To control and cut deficits governments normally cut governmental expenditure. This would also result in a fall in money supply and a consequent fall in demand which will check inflation. All developing economies suffer from budget deficits as governments spend to improve the infrastructure — build roads, power stations and the like. India is no exception. Budget deficits have been high. The government has, to reduce inflation consciously cut expenditure down and it has reduced from a high of around 15% few years ago to 6% -7% today.